

Business Report: PepsiCo's Acquisition of Siete Foods

Faith Grant

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Introduction

This business report details and analyzes PepsiCo's planned acquisition of Siete Foods and how this strategic action came to fruition as well as its expected outcome. PepsiCo's acquisition of Siete Foods, specifically the parent Garza Food Ventures, came at a price of approximately \$1.2 billion. This acquisition was announced by PepsiCo and subsequently reported by Juveria Tabassum of Reuters that same morning on October 1, 2024 in an article titled "PepsiCo to buy tortilla-chip maker Siete Foods for \$1.2 billion" (Tabassum et al.).

The article details how PepsiCo announced plans to acquire Siete Foods' parent company, Garza Food Ventures, for \$1.2 billion to expand its snacking portfolio. Siete, a Texas-based family-owned business, is known for grain-free tortilla chips and Mexican-inspired products, which are sold in 40,000 U.S. stores. The article states the acquisition reflects PepsiCo's strategy to diversify its product offerings as consumers shift towards private-label brands due to rising prices. The deal is expected to close in early 2025 and comes as PepsiCo seeks to strengthen its position in the competitive snacking market.

PepsiCo's acquisition of Siete Foods is a strategic action aimed at bolstering its competitive edge in the snack foods market, especially in the healthier snack sector. As a market-based strategic action, this acquisition increases PepsiCo's perceived value by expanding its product portfolio with a well-regarded, health-conscious brand. This move is intended to enhance PepsiCo's sustained competitive advantage and above average returns by aligning with current consumer preferences for nutritious, allergen-friendly snack options (Grand View Research).

One way that PepsiCo's investment is a strategic action is its difficulty to implement and due to the due to major financial commitment—\$1.2 billion—that demonstrates the company's dedication to securing a sustainable advantage in the shifting snacking landscape. As a strategic

action, the acquisition is both difficult and costly to reverse, showing PepsiCo's commitment to a future focused approach where it prioritizes adding lasting, perceived value to its product offerings.

The acquisition of Siete Foods helps sustain competitive advantage by giving PepsiCo access to valuable core competencies, including Siete's expertise in the production of grain-free and gluten-free products, as well as its established relationships with high-profile retail outlets such as Whole Foods and Target. These competencies are valuable because they meet a growing demand for health-oriented snacks, are rare as they cater to niche dietary markets, and are costly to imitate due to the proprietary formulations and brand loyalty Siete has developed. By inheriting Siete's reputation and consumer trust, along with its specialized tortilla chip production capabilities, PepsiCo is positioning itself to not only appeal to existing Siete customers but also to broaden its appeal to health-conscious consumers in an attempt to set itself apart from other big name snack competitors (Tabassum et al.).

PepsiCo's Business and Corporate Level Strategies

Business Level Strategy

PepsiCo's current business-level strategy in the convenient food (snack) product market is an integrated cost leadership/differentiation strategy. PepsiCo combines the advantages of both cost leadership and differentiation by offering a diverse range of snack products at competitive prices by attempting to reduce cost. PepsiCo owns nearly 40 different, unique snack brands, showcasing its differentiation strategy, while it also works to "position [the] business for long-term sustainable growth by allowing us to achieve a lower cost structure, improve decision-making and operate more efficiently," which showcases its cost-leadership strategy (PepsiCo 20). The 10-K further states that innovation and research and development (showing

continuous improvement), brand loyalty, product variety, and flexibility in its distribution network help PepsiCo maintain its competitive edge, further demonstrating the mix of cost-leadership and differentiation strategies to help the company achieve competitive advantage.

Corporate Level Strategy

PepsiCo's corporate-level strategy is a related constrained diversification strategy. This is evidenced by the company generating about 55% of its revenue from convenience foods, with the remainder from beverages, demonstrating its moderately diversified portfolio (GuruFocus Research)¹. PepsiCo demonstrates the three main linkages of a related constrained strategy by sharing product linkages through its overlapping product offerings, technological linkages through joint R&D efforts, and distribution linkages by utilizing common distribution networks across its beverage and convenience food businesses (PepsiCo 3-10).

Other evidence for the related constrained strategy is that PepsiCo's achieves increased market power through economies of scope and vertical integration. PepsiCo achieves operational relatedness by sharing key resources and capabilities, such as marketing campaigns, distribution networks, research and development, and sourcing practices, across its different businesses. This sharing allows PepsiCo to gain economies of scope by reducing costs and improving efficiencies. The company can sell its products at a premium or reduce costs below the competitive level due to its strong brand recognition, scale, and control over key activities. Through vertical integration, PepsiCo operates some of its own bottling plants and distribution facilities, which helps it maintain control over production and distribution (PepsiCo 8). This integration supports its ability to raise prices above existing competitive level, as seen since 2020, contributing to profitability (Durbin).

¹ The 2023 10-K was examined for revenue distribution, however, PepsiCo divides itself into 7 segments based mostly on geographic location which each include a mix of convenience food and beverage products. Thus, another source was used in combination with the 10-K to understand the revenue distribution more clearly.

The General Environment

Demographic

Demographically, the rising Hispanic population in the U.S. has become a crucial factor for brands looking to capture a bigger and more diverse consumer base. PepsiCo's 10-K states "our business can be adversely affected if we are unable to grow in developing and emerging markets (PepsiCo 16)." The Hispanic population in the United States has grown continuously for decades, now situating Hispanics as the second largest ethnic demographic in the U.S. (United States Census Bureau). Siete Foods, with its strong cultural roots in the Hispanic community and products that cater to the tastes and dietary needs of this demographic, offer PepsiCo a way to strengthen its presence in this emerging market, especially within the Latinx communities. By acquiring Siete, PepsiCo can better align itself with the preferences and needs of Hispanic consumers, capitalizing on a segment that continues to gain economic influence.

Socio-Cultural

The growing sociocultural shift towards healthier and cleaner eating has significantly impacted the food and beverage industry because consumers have been increasingly prioritizing natural, organic, allergen-free, and plant-based products (Cardozo). As health-conscious eating becomes more mainstream, especially among younger generations, PepsiCo's acquisition of Siete Foods allows them to tap into this demand. Siete's commitment to clean ingredients and products tailored to health-conscious consumers perfectly aligns with this trend which helps position PepsiCo to meet the changing preferences of today's consumers.

Sustainable Physical Environment

In terms of sustainability, PepsiCo has been committed to reducing its environmental footprint and promoting more sustainable practices (PepsiCo, 19). Siete Foods, with its emphasis

on clean, natural ingredients and sustainable sourcing, complements PepsiCo's broader sustainability goals. The acquisition helps PepsiCo to enhance its portfolio with products that align with consumer calls for eco-friendly practices while also furthering the company's environmental initiatives, such as reducing waste and conserving resources in its production processes.

Political/Legal

The limitations on marketing or the sale of products, particularly in markets with increasingly stringent regulations on ingredients, labeling, and health claims, have posed a business risk for PepsiCo (PepsiCo 21). Impositions similar to these have caused a decrease in consumption of PepsiCo's products (PepsiCo 22). Siete Foods' focus on clean ingredients and health-conscious products positions it well in an environment where consumers and regulators are demanding greater transparency and healthier options. PepsiCo's acquisition of Siete allows the company to expand its portfolio with products that are more in line with these "clean" regulatory requirements ensuring PepsiCo can adapt to the changing landscape and lessen risks associated with restrictions on traditional snack foods.

The Industry Environment

Rivalry Intensity Among Competing Firms

There is high intensity among competitors in the food and beverage industry.. Factors such as slow growth, high fixed costs, and low differentiation intensify competition, making product innovation and differentiation essential. The food and beverage industry is highly competitive as there are other well-established, equally balanced players apart from PepsiCo such as Coca-Cola, Nestlé, and Unilever attempting to gain market share. Many products in this space s often have low switching cost and are easily substitutable, which intensifies competition

and also which means that brand loyalty and innovation are important to retaining customers. PepsiCo's acquisition of Siete Foods allows it to differentiate further in the health-conscious snack segment, thereby reducing direct competition in this increasingly popular niche by offering unique, culturally relevant, and health-conscious options.

Threat of New Entrants

The threat of new entrants in the food and beverage industry, particularly the food convenience segment is moderate. Entry barriers in the food and beverage industry are moderately high due to significant capital requirements, brand loyalty, and economies of scale that large incumbents possess. However, consumer interest in wellness products and natural ingredients has led to a rise in small, niche brands that may carve out a space in the convenience food segment (Grand View Research). By acquiring Siete Foods PepsiCo can take competition from emerging health-focused brands which would help it maintain its market position, diversify its portfolio, while also making it harder for new entrants to compete on recognition, size, or differentiation.

Bargaining Power of Suppliers

The bargaining power of suppliers is low. The large number of suppliers diminishes their power; with so many options available, PepsiCo and similar companies can easily switch suppliers to find the most favorable pricing. Substitutes for supplier products are readily available, allowing food companies to replace ingredients or packaging sources without significant disruption which gives companies additional leverage. Agricultural supplies in particular, like grains, oils, and sweeteners, are often low-differentiation commodities meaning suppliers can't easily charge premium prices, as their products are similar and standardized. Additionally, PepsiCo's ability to vertically integrate adds to their negotiating strength. With the

resources to potentially source or even produce some ingredients in-house, PepsiCo can avoid dependency on specific suppliers. . By acquiring Siete, PepsiCo can secure direct access to key ingredients in healthy snacks and reduce dependency on potentially powerful suppliers, ensuring better control over supply quality and costs.

Bargaining Power of Buyers

The bargaining power of buyers is high in convenience foods because of the low switching costs, which enable consumers to easily choose between brands, and the abundance of substitutes available across grocery and specialty stores. Additionally, differentiation among convenience food products is moderate, meaning that buyers have numerous options with similar appeal, putting pressure on brands to stand out. This dynamic drives PepsiCo's acquisition of Siete Foods, as it allows them to offer a differentiated, health-conscious, and culturally resonant option, strengthening their competitive edge.

Threat of Substitute Products

The threat of substitutes is high in convenience foods because of low switching costs, allowing consumers to easily move to alternatives. Additionally, there are often lower-priced options, such as generic or private-label snacks, that appeal to budget-conscious shoppers. Many substitutes also possess qualities that PepsiCo snacks may lack, including organic certification, gluten-free status, or adherence to specific dietary preferences like keto or vegan. These alternatives appeal to health-conscious or specialty diet consumers, increasing competition and pushing PepsiCo to diversify its offerings, as seen in the acquisition of Siete Foods.

Financial and Performance Analysis

PepsiCo's acquisition of Siete Foods is a strategic response to both shifting consumer preferences and financial trends in key markets. PepsiCo's revenue has grown from \$79.5 billion

in 2021 to \$91.5 billion in 2023, with the U.S. market consistently making up around 57% of this figure, indicating a stagnation in growth rate that can be combatted with a new offering of products such as Siete foods. In contrast, revenue from Mexico has increased from 5.7% to 7.7% over the same period, highlighting the rising importance of international markets. The global healthy snack market's growth (from \$85.3 billion in 2021 to \$95.6 billion in 2023) further signals demand for health-conscious products (Grand View Research), a trend that Siete Foods, known for its clean-label offerings, effectively meets.

Siete's focus on health-oriented and culturally resonant foods allows PepsiCo to counter declining convenience food unit volume in international regions like Latin America and APAC. Despite the increase in proportion of net revenue coming from convenience foods, convenient foods saw a decrease in unit volume in every single international segment (LatAm, Europe, AMESA, and APAC). As PepsiCo's long-term debt obligations rise, substantial cash flow (\$8.1 billion in 2023) and R&D investment (\$804 million) position it to support innovative, growth-driven acquisitions like Siete (PepsiCo 40-112). This acquisition bolsters PepsiCo's portfolio with products that appeal to both the healthy snack sector and the growing Hispanic demographic, addressing demand in a high-growth segment aligned with long-term consumer trends.

<i>(in millions, except % and market)</i>	2023	2022	2021
Total Revenue of PepsiCo	\$ 91,471	\$86,392	\$79,474
International % of Net Revenue From Convenience Foods	70%	69.2%	67.6%
Net Revenue by Country - U.S.	\$52,165	\$49,390	\$44,545
US Net Revenue as % of Total	57%	57%	56%

<i>(in millions, except % and market)</i>	2023	2022	2021
Net Revenue by Country - Mexico	\$7,011	5,472	\$4,580
Mexico Net Revenue as % of Total	7.7%	6.3%	5.7%
Operating Margin	13.1%	13.3%	-
Research & Development Cost	\$804	\$771	\$752
Long Term Debt Obligations	\$37,595	\$35,647	\$-
Free Cash Flow	\$8,122	\$5,855	\$-
Hispanic Population in U.S.	65 million	63.06 million	62.5 million
Global Healthy Snack Market	\$95.6 billion	\$90.6 billion	\$85.3 billion

Firm Strengths and Weaknesses

STRENGTHS	WEAKNESSES
● Diverse Product Portfolio: PepsiCo's wide range of products within its beverage and snack business offers it a competitive edge by catering to different consumer preferences and has market leadership in multiple segments ● Strong Marketing and Advertising: PepsiCo has established itself as a leader in advertising and brand promotion. . Its marketing campaigns have high visibility and consumer engagement, which strengthens brand loyalty ● Global Reach: PepsiCo operates in more than 200 countries, giving it an international footprint that boosts brand recognition ● Strong Distribution Network: PepsiCo has a robust global distribution system, allowing it to	● Dependence on Sugary Products: Many of PepsiCo's profits come from sugary drinks and snacks, which could be a problem as more people move toward healthier eating ● High Dependence on U.S. Market: PepsiCo derives a large portion of its revenue from the U.S. market, leaving it vulnerable to fluctuations in consumer demand and economic conditions domestically. ● Rising Debt Levels: PepsiCo has significant long-term debt, which can limit financial flexibility and increase vulnerability to interest rate hikes. ● Product Overlap: With such a broad product portfolio, PepsiCo faces the risk of its own brands competing against each other, which can dilute market share and create inefficiencies.

efficiently deliver products worldwide and maintain consistent market presence. ● Innovation in Product Development: PepsiCo invests heavily in research and development, continuously innovating to bring new products to market that meet changing consumer tastes ● Effective Partnerships: PepsiCo has strategic partnerships with large retailers and foodservice outlets, giving it a competitive advantage in terms of shelf space and market penetration. ● Efficient Supply Chain: Despite global challenges, PepsiCo's well-established supply chain ensures a steady flow of materials, allowing the company to quickly adjust to market demands and disruptions	● Struggles in New Markets: PepsiCo has had trouble growing in some emerging markets, where it faces competition and challenges in understanding local preferences ● Health Concerns: Many consumers are turning away from sugary and processed foods, which puts PepsiCo's products under scrutiny despite efforts to offer healthier options ● Environmental Pressures: PepsiCo is still working on reducing its environmental impact, especially in areas like packaging waste and water use, and faces continued pressure to improve
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Why PepsiCo is Acquiring Siete Foods

The acquisition of Siete Foods allows PepsiCo to overcome key entry barriers through new markets and new products. By positioning itself in the growing healthy snack market and appealing to the fast-expanding Hispanic demographic in the U.S. Siete's established brand recognition in the health-conscious snack segment, part of a \$95.6 billion global market, allows PepsiCo to quickly enter this space with little resistance. PepsiCo can leverage its strong marketing and distribution networks to scale Siete's reach, enhancing its product offerings while bypassing the time-consuming process of creating a new health-focused brand from scratch. Additionally, PepsiCo's extensive global distribution network can potentially support Siete's

international growth and address stagnation in PepsiCo's international convenience food unit sales.

The acquisition provides PepsiCo with a strategic solution to both support international growth and address its vulnerability due to its heavy reliance on the U.S. market. Siete's products, which align with the growing U.S. Hispanic population of 65 million, enable PepsiCo to cater to this expanding market segment. Moreover, the acquisition strengthens PepsiCo's position in international markets by offering culturally relevant, health-conscious snack options. Integrating Siete into PepsiCo's global distribution system can help tap into international markets, offering growth potential in regions where PepsiCo has faced challenges, such as Latin America and Europe.

The acquisition also supports PepsiCo's efforts in diversifying its product line, helping to reduce its reliance on traditional high-sugar snacks that face increasing scrutiny due to growing health concerns. Instead of investing heavily in R&D to create new health-focused products, PepsiCo benefits from acquiring an established brand like Siete, which already offers grain-free and plant-based snacks. With PepsiCo's R&D expenditures rising from \$752 million in 2021 to \$804 million in 2023, acquiring Siete provides a more cost-effective route to meet consumer demand for healthier options while avoiding the risks associated with developing new products.

Expected Outcome of Acquisition

The acquisition of Siete Foods is poised to be successful for PepsiCo for several key reasons. First, Siete is a smaller company compared to PepsiCo, which makes its acquisition more straightforward and manageable. PepsiCo's adaptability as a global leader in the snack and beverage industry allows it to easily integrate smaller brands into its portfolio without significant

operational disruptions. PepsiCo's financial strength demonstrated through its high cash flows and revenue provides the company with the financial flexibility to absorb Siete without jeopardizing its debt levels making sure that it can manage the acquisition effectively.

Additionally, Siete's resources and brand align well with PepsiCo's current portfolio, especially in the growing healthy snack market. With consumer preferences shifting toward healthier, clean-eating options, PepsiCo can leverage Siete's strong brand appeal within the Hispanic demographic, which is expanding in the U.S. Siete's existing infrastructure and consumer loyalty also offer opportunities for synergies in marketing, distribution, and product innovation. Synergy will likely come by combining PepsiCo's established distribution networks and good marketing capabilities with Siete's culturally relevant products, the acquisition could enhance PepsiCo's competitiveness in both the health-conscious snack market and its efforts to grow in new markets.

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PepsiCo to buy tortilla-chip maker Siete Foods for \$1.2 billion

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